

Accounting Business and Society

Week 7

Tutorial A

Exercise 1



Background:

This activity will allow you to strengthen your understanding on the core components of cash-flows statement which are Operating, Investing and FinancingCash activities. You will be working in a pair for the following tasks.

Task:

Pre-class work discussion:

- . What are the key purposes of the statement of Cash-flows?
 - . What information sources are required to assist us in the preparation of the cash-flow statement?
 - . What re the direct and indirect methods of preparing cash-flows statements?
- 1.You and your peer will discuss the basic structure of the cash-flows statementand each of you will be required to think of ONE example for each cash activity type (Operating/Investing/Financing)
 - 2.From the Cash activity classification Excel spreadsheet provided below, each pair is required to correctly classify the cash activities into the right businesstransaction type.

Resources:

Cash activity classification Excel Spreadsheet

Exercise 2



Background:

This activity requires you to apply the direct method to prepare for the cash-flows from operating activities. To complete this task, it is critical that you know the set of formulas to calculate the common operating cash items under Direct method.

Task:

1. Please use the Flash-Card provided below to self-assess if you can remember a set of formulas to be used in the calculation for common operating cash items under Direct method.
2. You are required to access to the Direct method for Operating Cash Excel Spreadsheet provided below to complete the Cash-Flows from Operating Activity section of the Cash-flows statement.

Resources:

Direct method for Operating Cash

Exercise 3

PROBLEM 14–7 Prepare a Statement of Cash Flows LO14–1, LO14–2
Comparative financial statements for Weaver Company follow:



Weaver Company
Comparative Balance Sheet
at December 31
This YearLast Year

Assets		
Cash and cash equivalents.....	\$ 9	\$ 15
Accounts receivable	340	240
Inventory	125	175
Prepaid expenses	10	6
Total current assets.....	484	436
Property, plant, and equipment	610	470
Less accumulated depreciation	93	85
Net property, plant, and equipment	517	385
Long-term Investments	16	19
Total assets.....	\$1,017	\$840
Liabilities and Stockholders' Equity		
Accounts payable	\$ 310	\$230
Accrued liabilities	60	72
Income taxes payable	40	34
Total current liabilities	410	336
Bonds payable	290	180
Total liabilities	700	516
Common stock	210	250
Retained earnings	107	74
Total stockholders' equity	317	324
Total liabilities and stockholders' equity.....	\$1,017	\$840

Weaver Company
Income Statement
For This Year Ended December 31

Sales.....	\$800
Cost of goods sold	500
Gross margin.....	300
Selling and administrative expenses	213
Net operating income	87
Nonoperating items:	
Gain on sale of Investments	\$7 3
Loss on sale of equipment	(4) 90
Income before taxes	
Income taxes	27
Net income	\$ 63

Exercise 3



PROBLEM 14–7 Prepare a Statement of Cash Flows LO14–1, LO14–2
Comparative financial statements for Weaver Company follow:

During this year, Weaver sold some equipment for \$20 that had cost \$40 and on which there was accumulated depreciation of \$16. In addition, the company sold long-term investments for \$10 that had cost \$3 when purchased several years ago. Weaver paid a cash dividend this year and the company repurchased \$40 of its own stock. This year Weaver did not retire any bonds.

Required:

1. Using the indirect method, determine the net cash provided by operating activities for this year.
2. Using the information in (1) above, along with an analysis of the remaining balance sheet accounts, prepare a statement of cash flows for this year.

Exercise 4



PROBLEM 14–8 Classification of Transactions LO14–1

Below are several transactions that took place in Seneca Company last year:

- a. Paid suppliers for inventory purchases.
- b. Bought equipment for cash.
- c. Paid cash to repurchase its own stock.
- d. Collected cash from customers.
- e. Paid wages to employees.
- f. Equipment was sold for cash.
- g. Common stock was sold for cash to investors.
- h. Cash dividends were declared and paid.
- i. A long-term loan was made to a supplier.
- j. Income taxes were paid to the government.
- k. Interest was paid to a lender.
- l. Bonds were retired by paying the principal amount due

Exercise 4

Required:

Prepare an answer sheet with the following headings:



Transaction	Activity			Cash Inflow	Cash Outflow
	Operating	Investing	Financing		
a.					
b.					
Etc.					

Enter the transactions above on your answer sheet and indicate how each of them would be classified on a statement of cash flows. As appropriate, place an X in the Operating, Investing, or Financing column. Also, place an X in the Cash Inflow or Cash Outflow column.

Exercise 5

PROBLEM 14–9 Understanding a Statement of Cash Flows LO14–1, LO14–2



Brock Company is a merchandiser that prepared the statement of cash flows and income statement provided below:

Brock Company Statement of Cash Flows— Indirect Method

Operating Activities

Net income		\$275
Adjustments to convert net Income to a cash basis:		
Depreciation	140	
Increase in accounts receivable	(24)	
Decrease in inventory	39	
Decrease in accounts payable.....	(45)	
Decrease in accrued liabilities	(5)	
Increase In Income taxes payable	6	
Gain on sale of equipment	(4)	107
Net cash provided by (used in) operating activities ..		382

Investing Activities

Additions to property, plant, and equipment	(150)	
Proceeds from sale of equipment	19	
Net cash provided by (used in) Investing activities		(131)

Financing Activities

Issuance of bonds payable	40	
Issuance of common stock	4	
Cash dividends paid	(35)	
Net cash provided by (used in) financing activities ..		9
Net Increase In cash and cash equivalents		260
Beginning cash and cash equivalents		170
Ending cash and cash equivalents		\$430

Brock Company Income Statement

Sales.....	\$5,200
Cost of goods sold	2,980
Gross margin.....	2,220
Selling and administrative expenses	1,801
Net operating income	419
Nonoperating items: Gain on sale of equipment	4
Income before taxes	423
Income taxes	148
Net income.....	\$275

Exercise 5

PROBLEM 14–9 Understanding a Statement of Cash Flows LO14–1, LO14–2



Brock Company is a merchandiser that prepared the statement of cash flows and income statement provided below:

Required:

Assume you have been asked to teach a workshop to the employees within Brock Company's Marketing Department. The purpose of your workshop is to explain how the statement of cash flows differs from the income statement. Your audience is expecting you to explain the logic underlying each number included in the statement of cash flows. Prepare a memo that explains the format of the statement of cash flows and the rationale for each number included in Brock's statement of cash flows.

Accounting Business and Society

Week 7

Tutorial B

Exercise 1

Background:

You should have attempted the Direct vs Indirect method Excel Spreadsheet before returning up the tutorial B this week. You will

Task:

1. You now will be working in a pair with your mate to discuss and compare your solution on your Direct vs Indirect method Excel Spreadsheet .
2. After discussion time, your pair might be requested to present the solution and explain how you completed your work to the class.

Resources:

Direct vs Indirect method Excel Spreadsheet

Exercise 2

Background:

This activity will allow you to practise how to prepare cash-flows statements from Investing and Financing Activities. We will still work on the existing Direct & Indirect Excel Spreadsheet and the financial data provided within it.

Task:

1. Pairs are required to discuss and complete Investing & Financing cash flows in the new Excel Tab from the existing Direct & Indirect Excel Spreadsheet.
2. After the completion of Investing & Financing Activities, you are now required to bring all information together (Operating/Investing/Financing) to produce the complete cash-flows statement for Linh Do Accounting Firm in the year 2023. Good luck!

Exercise 3

PROBLEM 14–10 Prepare a Statement of Cash Flows; Free Cash Flow
LO14–1, LO14–2, LO14–3



Joyner Company's income statement for Year 2 follows:

Sales.....	\$900,000
Cost of goods sold	500,000
Gross margin.....	400,000
Selling and administrative expenses ...	328,000
Net operating income	72,000
Nonoperating items:	
Gain on sale of equipment	8,000
Income before taxes	80,000
Income taxes.....	24,000
Net income	\$ 56,000

Exercise 3

PROBLEM 14–10 Prepare a Statement of Cash Flows; Free Cash Flow
LO14–1, LO14–2, LO14–3



Its balance sheet amounts at the end of Years 1 and 2 are as follows:

	Year 2	Year 1
Assets		
Cash and cash equivalents	\$ 4,000	\$21000
Accounts receivable	250,000	170000
Inventory	310,000	260000
Prepaid expenses	7,000	14000
Total current assets	571,000	465,000
Property, plant, and equipment	510,000	400000
Less accumulated depreciation	132,000	120,000
Net property, plant, and equipment	378,000	280,000
Loan to Hymans Company	40,000	0
Total assets	<u>\$989,000</u>	<u>\$745,000</u>
Liabilities and Stockholders' Equity		
Accounts payable	\$310,000	\$250,000
Accrued liabilities	20,000	30,000
Income taxes payable	45,000	42,000
Total current liabilities	375,000	322,000
Bonds payable	190,000	70,000
Total liabilities	565,000	392,000
Common stock	300,000	270,000
Retained earnings	124,000	83,000
Total stockholders' equity	424,000	353,000
Total liabilities and stockholders' equity	<u>\$989,000</u>	<u>\$745,000</u>

Exercise 3

PROBLEM 14–10 Prepare a Statement of Cash Flows; Free Cash Flow
LO14–1, LO14–2, LO14–3



Equipment that had cost \$40,000 and on which there was accumulated depreciation of \$30,000 was sold during Year 2 for \$18,000. The company declared and paid a cash dividend during Year 2. It did not retire any bonds or repurchase any of its own stock.

Required:

1. Using the indirect method, compute the net cash provided by operating activities for Year 2.
2. Prepare a statement of cash flows for Year 2.
3. Compute the free cash flow for Year 2.
4. Briefly explain why cash declined so sharply during the year.

Exercise 4

PROBLEM 14–12 Prepare a Statement of Cash Flows LO14–1, LO14–2

A comparative balance sheet and an income statement for Burgess Company are given below:



Burgess Company Income Statement (dollars in millions)	
Sales.....	\$3,600
Cost of goods sold	2,550
Gross margin.....	1,050
Selling and administrative expenses	875
Net operating income	175
Nonoperating items: Gain on sale of equipment	3
Income before taxes.....	178
Income taxes.....	63
Net income.....	115

Burgess Company Comparative Balance Sheet (dollars in millions)		
	Ending Balance	Beginning Balance
Assets		
Current assets:		
Cash and cash equivalents	\$49	\$ 79
Accounts receivable	645	580
Inventory	660	615
Total current assets	1,354	1,274
Property, plant, and equipment	1,515	1,466
Less accumulated depreciation	765	641
Net property, plant, and equipment	750	825
Total assets	\$2,104	\$2,099
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable	\$ 250	155
Accrued liabilities	190	165
Income taxes payable	76	70
Total current liabilities	516	390
Bonds payable	450	620
Total liabilities	966	1,010
Stockholders' equity		
Common stock	161	161
Retained earnings	977	928
Total stockholders' equity	1,138	1,089
Total liabilities and stockholders' equity	\$2,104	\$2,099

Exercise 4



Burgess also provided the following information:

1. The company sold equipment that had an original cost of \$13 million and accumulated depreciation of \$8 million. The cash proceeds from the sale were \$8 million. The gain on the sale was \$3 million.
2. The company did not issue any new bonds during the year.
3. The company paid a cash dividend during the year.
4. The company did not complete any common stock transactions during the year.

Required:

1. Using the indirect method, prepare a statement of cash flows for the year.
2. Assume that Burgess had sales of \$3,800, net income of \$135, and net cash provided by operating activities of \$150 in the prior year (all numbers are stated in millions). Prepare a memo that summarizes your interpretations of Burgess's financial performance.

Exercise 5

PROBLEM 14–13 Prepare and Interpret a Statement of Cash Flows; Free Cash Flow LO14–1, LO14–2, LO14–3



Mary Walker, president of Rusco Company, considers \$14,000 to be the minimum cash balance for operating purposes. As can be seen from the following statements, only \$8,000 in cash was available at the end of this year. Since the company reported a large net income for the year, and also issued both bonds and common stock, the sharp decline in cash is puzzling to Ms. Walker.

Rusco Company Income Statement For This Year Ended July 31		
Sales		\$500,000
Cost of goods sold		300,000
Gross margin		200,000
Selling and administrative expenses		158,000
Net operating income		42,000
Nonoperating items:		
Gain on sale of investments	\$10,000	
Loss on sale of equipment	(2,000)	8,000
Income before taxes		50,000
Income taxes		20,000
Net income		\$30,000

Exercise 5



Rusco Company Comparative Balance Sheet at July 31

	This Year	Last Year
Assets		
Current assets:		
Cash and cash equivalents	\$8,000	\$ 21,000
Accounts receivable	120,000	80,000
Inventory	140,000	90,000
Prepaid expenses	5,000	9,000
Total current assets	273,000	200,000
Long-term investments	50,000	70,000
Plant and equipment	430,000	300,000
Less accumulated depreciation	60,000	50,000
Net plant and equipment	370,000	250,000
Total assets	\$693,000	\$520,000
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable	\$123,000	\$ 60,000
Accrued liabilities	8,000	17,000
Income taxes payable	20,000	12,000
Total current liabilities	151,000	89,000
Bonds payable	70,000	0
Total liabilities	221,000	89,000
Stockholders' equity:		
Common stock	366,000	346,000
Retained earnings	106,000	85,000
Total stockholders' equity	472,000	431,000
Total liabilities and stockholders' equity	\$693,000	\$520,000

Exercise 5



The following additional information is available for this year.

- a. The company declared and paid a cash dividend.
- b. Equipment was sold during the year for \$8,000. The equipment originally cost \$20,000 and had accumulated depreciation of \$10,000.
- c. Long-term investments that cost \$20,000 were sold during the year for \$30,000.
- d. The company did not retire any bonds payable or repurchase any of its common stock.

Required:

1. Using the indirect method, compute the net cash provided by operating activities for this year.
2. Using the data from (1) above, and other data from the problem as needed, prepare a statement of cash flows for this year.
3. Compute free cash flow for this year.
4. Explain the major reasons for the decline in the company's cash balance.